The Middle East AI Race

UAE's G42, Saudi HUMAIN, and Israel's Unit 8200 Ecosystem

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Executive Summary

The Middle East has emerged as one of the most consequential battlegrounds of the global artificial intelligence race, with sovereign wealth capital, strategic positioning between the US and China, and a demographic imperative driving investment at a scale and speed unmatched outside the United States and China. The UAE committed to $100 billion in AI infrastructure agreements in 2025-2026, anchored by the landmark $100 billion US-UAE AI deal announced during the Trump administration's Gulf visit in July 2025 . Saudi Arabia announced a $100 billion-plus AI investment commitment through the Public Investment Fund and Aramco digital ventures, with NVIDIA and Amazon signing GPU supply and cloud infrastructure agreements during President Trump's Riyadh visit in May 2025 .

Against this sovereign capital mobilisation, Israel's Unit 8200 alumni network — having already produced foundational global cybersecurity companies including Check Point, CyberArk, and Wiz — continues to generate the region's most technically sophisticated AI and cybersecurity enterprises. The UAE's Technology Innovation Institute produced FALCON 40B, an open-source large language model that ranked first on the Hugging Face Open LLM Leaderboard at its launch in May 2023, demonstrating that Arabic-first AI development could achieve global frontier performance . The competitive dynamics of the Middle East AI race are simultaneously domestic (each state building national AI capability), bilateral (Gulf-Israel technology cooperation accelerated by Abraham Accords), and geopolitical (US export controls on advanced chips constraining Gulf AI ambitions while Huawei offers constraint-free Chinese alternatives). The region's AI trajectory will shape not only its own economic diversification but the global balance of AI capability for the decade ahead.

Part I — UAE: G42, FALCON, and the $100 Billion AI Deal

G42 (Group 42) was founded in 2018 as an Abu Dhabi-based technology conglomerate, operating under the chairmanship of Sheikh Tahnoon bin Zayed Al Nahyan — UAE National Security Advisor and brother of President Mohammed bin Zayed — with CEO Peng Xiao . The company rapidly became the UAE's primary vehicle for technology ambition across AI, cloud computing, bioinformatics, and smart city infrastructure. Its early partnership architecture included extensive collaboration with Huawei on 5G network infrastructure, facial recognition systems, and cloud services — an exposure that attracted significant scrutiny from the US Congress.

The House Select Committee on China conducted hearings in 2023 and 2024 examining G42's access to sensitive US technology and its concurrent relationships with Chinese technology firms . The investigations generated sufficient pressure that G42 undertook a significant structural adjustment, winding down its Huawei relationships and other Chinese technology partnerships. CEO Peng Xiao testified directly regarding the reduction of Chinese technology exposure. The consequence was a major

US-UAE technology alignment: Microsoft announced a strategic investment of $1.5 billion for approximately a 1.5% equity stake in G42, alongside a $20 billion cloud and AI partnership encompassing data centre infrastructure, Azure deployment in the UAE, and AI research collaboration . The announcement was made at the White House during a meeting between UAE President MBZ and President Biden — a deliberate signal of the diplomatic dimension of the commercial arrangement.

G42 has become the implementation vehicle for the UAE's most ambitious AI programme. The Technology Innovation Institute (TII), funded by Abu Dhabi and operating in close coordination with G42, released FALCON 40B in May 2023 as an open-source large language model trained with particular attention to Arabic language performance . At launch, FALCON 40B ranked first on the Hugging Face Open LLM Leaderboard, which assesses models across standardised reasoning, knowledge, and language benchmarks . TII subsequently released FALCON 180B in September 2023, further extending its position as a frontier open-source model producer . The significance of FALCON extends beyond its technical metrics: Arabic language AI had been structurally disadvantaged by the English dominance of training data and research investment at global frontier labs. An Arabic-first model achieving global leaderboard performance represents a meaningful shift in the linguistic equity of frontier AI.

The US-UAE AI Deal of July 2025, announced during the Trump administration's Gulf visit, committed $100 billion in mutual investment across AI data centre construction in the UAE and the United States, GPU import rights at scale, and cloud infrastructure build-out . Critically, the deal included a US commitment to grant the UAE the right to import 500,000 H100-equivalent GPUs per year — a concession of extraordinary significance given the US Bureau of Industry and Security export control regime that had previously classified UAE as Tier 2 and required individual export licenses .

Part II — Saudi Arabia: NEOM, SDAIA, HUMAIN, and the AI Industrial Vision

Saudi Arabia's AI strategy is embedded within Vision 2030's economic diversification programme and is governed institutionally by the Saudi Data and AI Authority (SDAIA), established in 2019 under CEO Abdullah Al-Ghamdi . The National AI Strategy 2020-2030 encompasses 30 objectives and committed 10 billion Saudi riyals in public investment . This institutional foundation has been followed by dramatically larger sovereign commitments as the geopolitical importance of AI capability has become clear.

NEOM — the 170-kilometre linear smart city project in northwest Saudi Arabia — represents the most architecturally ambitious deployment of AI in urban infrastructure anywhere in the world. The planned city, designated to house up to 9 million residents, is designed to be managed comprehensively by a system designated Cognitive NEOM: AI-optimised energy distribution, fully autonomous vehicle transportation networks, predictive infrastructure maintenance, and real-time management of data flows generated by the entire resident population . The Cognitive NEOM system is designed as a digital twin of the physical city — a comprehensive virtual simulation updated in real time from sensor inputs and used for both operational management and long-term planning optimisation .

Saudi Aramco's digital transformation programme demonstrates AI deployment at industrial scale. AI-assisted real-time geological analysis optimises drilling decision-making across Aramco's oil fields, while predictive maintenance algorithms monitor over 3,500 kilometres of pipeline infrastructure to anticipate failures before they occur . Alat, a $100 billion manufacturing company wholly owned by the Saudi Public Investment Fund and announced in 2024, plans to deploy AI-driven smart factory technologies across Saudi Arabia as part of the kingdom's domestic manufacturing diversification .

HUMAIN is the most direct expression of Saudi Arabia's national AI industrial ambition. Created in 2025 as a wholly owned subsidiary of the PIF under CEO Tareq Amin, HUMAIN has committed to a $100 billion AI infrastructure programme anchored by deals with NVIDIA and Amazon encompassing GPU supply agreements and data centre construction . The first-phase data centre buildout targets 500 megawatts of compute capacity within NEOM . NVIDIA's agreements with Saudi counterparts, signed during the Trump Riyadh visit in May 2025, represented $600 billion or more in cumulative AI investment commitments from the Saudi side, including GPU supply arrangements for both HUMAIN and Saudi Aramco's digital operations . Saudi Arabia's AI talent development target — 20,000 AI professionals by 2030, supported by university programmes at KAUST and KFUPM — reflects awareness that capital can import hardware but not indefinitely substitute for domestic technical capability .

Part III — Israel's Unit 8200 Tech Ecosystem: Intelligence to Industry

Unit 8200, the signals intelligence collection unit of the Israel Defense Forces, has produced the most consequential alumni network in the global technology industry relative to the size of its recruiting base. The unit serves as Israel's primary signals intelligence organisation — functionally equivalent to the NSA in the United States — and its three-year mandatory service programme provides graduates with a combination of formal training and field operational experience that functions, in terms of practical cybersecurity and systems engineering competence, as equivalent to a top-tier university computer science degree combined with three years of intensive applied experience .

The commercial outcomes of this training programme are extraordinary. Check Point Software Technologies was founded by Gil Shwed, a Unit 8200 alumnus, in 1993 — effectively creating the commercial network firewall industry — and had grown to a market capitalisation of approximately $20 billion by 2024 . CyberArk, founded by Udi Mokady and other 8200 alumni in 1999, specialising in privileged access management, reached a market capitalisation of approximately $14 billion . Waze, the navigation application founded by Ehud Shabtai and Amir Shinar, both 8200 alumni, was acquired by Google in 2013 for $1.1 billion .

Wiz represents the most current and financially significant Unit 8200 alumni success. Founded in 2020 by Assaf Rappaport and a team of 8200 alumni focusing on cloud security, Wiz raised at a $12 billion valuation in its Series E round in 2023 . Google's acquisition offer for Wiz was blocked in July 2024 amid regulatory concerns, after which Wiz proceeded toward an IPO valued in the $12 to $16 billion range . NSO Group, the developer of the Pegasus spyware — founded by Niv Carmi, Shalev Hulio, and Omri Lavie, with backgrounds in 8200 and related Israeli intelligence units — was placed on the US Entity List in November 2021 by the Biden administration, reflecting the dual-use character of cyber-intelligence capabilities that Unit 8200 training generates .

Israel's broader technology ecosystem produces these outcomes within a context of the highest research and development spending as a percentage of GDP globally, at approximately 5.7% . Israeli VC investment, while declining from its $27 billion peak in 2021 to approximately $7.3 billion in 2023, sustains a startup density — 6,500 or more active technology startups — that remains among the world's highest relative to population . Ben Gurion University, the Technion, and Hebrew University collectively produce over 10,000 computer science graduates per year, many of whom enter military service before commercial careers .

Part IV — Gulf-Israel AI Cooperation Post-Abraham Accords

The Abraham Accords, signed in September and October 2020, formalised relations between Israel and the UAE and Bahrain, creating the diplomatic infrastructure for commercial cooperation that had previously operated only through indirect channels. For the technology sector, the Accords represented an opening of significant latent opportunity: Israeli cybersecurity and AI depth combined with Gulf sovereign capital and data infrastructure creates a partnership configuration with genuine complementarity.

Israeli AI companies operating in the healthcare vertical — including Zebra Medical Vision and Aidoc, which apply deep learning to radiology image analysis — have moved into deployment in UAE hospitals following the Accords, with Gulf healthcare systems offering large-scale implementation environments valuable for model training and validation . Cognyte Software, an Israeli intelligence analytics company, established UAE operational presence following normalisation . CyberArk opened a UAE office. The Abu Dhabi Investment Authority's broader technology investment portfolio has exposure to Israeli-founded companies through US-listed holdings, though direct bilateral investment flows require careful navigation of ongoing political sensitivities.

October 7, 2023 and the subsequent Gaza conflict complicated but did not terminate Gulf-Israel technology cooperation. Corporate-level relationships continued — the economic logic remained intact — but some government-to-government AI cooperation frameworks were paused or reduced as UAE authorities managed domestic and regional political sensitivities around public association with Israel during an active conflict . G42's Israeli technology partnerships, some of which had been announced with considerable fanfare post-Accords, were quietly wound down or placed on hold. Saudi-Israel normalisation — the Biden administration's primary Middle East diplomatic initiative — was delayed indefinitely by October 7, meaning direct Saudi-Israel technology partnerships remain structurally impossible at governmental level, though US technology companies carrying Israeli intellectual property operate freely in Saudi Arabia.

Part V — Export Control Tensions: Chips, China, and the Tier Hierarchy

The US Bureau of Industry and Security October 2023 and October 2024 expansions of advanced semiconductor export controls created the primary structural constraint on Gulf AI ambitions. The controls classified countries into access tiers: Tier 1 (closest US allies — UK, Australia, Japan, and others — with unrestricted access), Tier 2 (all other countries including UAE and Saudi Arabia — requiring export licenses for advanced AI chips), and Tier 3 (adversary nations — essentially prohibited) . Israel, as a Tier 1 ally, retains unrestricted access to US semiconductor technology.

Gulf states mounted sustained lobbying campaigns for Tier 1 reclassification. The US-UAE AI Deal of July 2025 represented a partial resolution: the United States granted the UAE the right to import 500,000 H100-equivalent GPUs per year — a specific volume commitment rather than categorical reclassification — while retaining audit and compliance verification rights . The HUMAIN-NVIDIA deal in Saudi Arabia was approved with conditions including US audit rights over data centres and data localisation requirements designed to prevent technology diversion .

The underlying US concern is credible: before the G42 restructuring, the company had deep Huawei relationships and operated AI infrastructure that could potentially have provided Chinese entities with access to US-origin technology. US intelligence assessments have specifically cited the risk of advanced AI chips being diverted to Chinese end-users as the primary justification for Tier 2 controls on Gulf states . Huawei's Ascend 910B chip — offered to Gulf customers without US export control complications — represents the Chinese alternative. UAE accepted Huawei AI infrastructure extensively before the G42 restructuring, and the ongoing availability of a capable alternative ensures that Gulf leverage in negotiations with Washington remains real: the choice between US-controlled GPU access with compliance burdens and Huawei access with Chinese strategic entanglement is a genuine strategic decision that Gulf states can make .

Conclusion

The Middle East AI race is accelerating on three parallel tracks: Gulf sovereign capital deploying at unprecedented scale, Israeli Unit 8200 alumni producing the global cybersecurity frontier, and US-China chip competition constraining and shaping the architectural choices available to Gulf states. The $100 billion commitments from both UAE and Saudi Arabia, combined with the US decision to grant GPU import rights as a diplomatic concession, mark a structural inflection: the Gulf is no longer merely a consumer of AI capability but an aspiring producer — with national models, national AI companies, and national data infrastructure as the declared endpoints. The export control regime remains the primary US lever for maintaining the relationship between this investment and Western rather than Chinese AI architectures. Whether that leverage can be sustained as Huawei's alternatives improve and Chinese AI models close the performance gap with US frontier labs is the central question of Middle East AI geopolitics for the coming decade.

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